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₹1 lakh becomes ₹1.52 lakh *in a Tamil Nadu govt company FD.*

Everything about the TDFC Fixed Deposit: rates, real returns, how to apply, and the fine print.

A lot of people, especially retired parents, want something that pays more than a bank FD or the Post Office but stays away from the stock market. TDFC keeps coming up in that conversation. So I read every page of its rules, worked out the numbers myself, and put it all here in one place.

1. **Senior citizens get 8.5% a year** for 60 months, compounded every quarter. ₹1 lakh grows to about ₹1.52 lakh.
2. **It is a company owned by the Tamil Nadu government**, regulated by RBI. It is not a bank, and the deposit is not insured. Know what that means before you put money in.
3. **Applying is simple.** Pay from your own bank account, send a signed form with PAN, Aadhaar and a cancelled cheque, and the receipt comes by post.

START WITH	TENURE	SENIOR RATE	₹1 LAKH BECOMES
₹50,000	60 months	8.5%	₹1.52 L

PART 1 · THE NUMBERS AT A GLANCE

What your deposit *could become*

Senior citizen rates, 60 months, cumulative option (interest is added back every quarter and paid with the principal at the end).

1 Senior citizens, 8.5% for 60 months

YOU DEPOSIT	AT MATURITY	INTEREST EARNED	FOR COMPARISON: UNDER 60 AT 8.0%
₹50,000	₹76,140	₹26,140	₹74,297 at maturity
₹1,00,000	₹1,52,279	₹52,279	₹1,48,595 at maturity
₹5,00,000	₹7,61,397	₹2,61,397	₹7,42,974 at maturity
₹10,00,000	₹15,22,795	₹5,22,795	₹14,85,947 at maturity

Calculated as Amount × (1 + rate ÷ 4)^20, i.e. quarterly compounding over 20 quarters, using TDFC's rates effective 24 August 2026. Before tax. Rounded to the nearest rupee.

THE ONE THING TO NOTICE

Your money grows by about 52% in five years. That is the same as earning 8.77% every year, compounded, and it is a full point above the Post Office 5-year Time Deposit (7.5%).

ABOUT THE "10.46% YIELD" YOU WILL SEE EVERYWHERE

TDFC advertises an "effective yield" of 10.46% for seniors on the 60-month cumulative deposit. That figure is the total 52.3% gain divided by 5 years. It is a correct number, but it is not a yearly compound rate, so don't compare it directly with a bank FD's interest rate. The fair comparison is the 8.5% headline rate, or 8.77% once quarterly compounding is included.

AND ABOUT "100% SAFE"

TDFC is wholly owned by the Government of Tamil Nadu, which makes it one of the stronger places to keep a company FD. But TDFC's own terms say these deposits are **not insured** (no DICGC cover like a bank FD) and RBI does not guarantee its financial position. Low risk, yes. Zero risk, no. Part 2 explains.

PART 2 · WHAT TDFC ACTUALLY IS

A government company, *not a bank*

Knowing who holds your money is the first question for any fixed deposit.

2 Who runs it

Tamil Nadu Transport Development Finance Corporation Ltd (TDFC) is a company fully owned by the Government of Tamil Nadu. It is registered with RBI as a non-banking finance company (NBFC), in the "Investment and Credit Company" category.

It collects public deposits and uses them to give financial assistance to Tamil Nadu's State Transport Undertakings, the government bus corporations.

It was set up in 1975 and held about ₹14,568 crore of deposits as of 31 March 2026. Its head office is at the Tamil Nadu Tourism Complex on Walajah Road, Chennai.

3 How safe is it, honestly?

WHAT WORKS IN ITS FAVOUR

- 100% owned by the Tamil Nadu government
- Registered with and regulated by RBI
- Rates fixed for your whole tenure once you deposit
- Receipts, nomination and TDS work like a normal FD

WHAT TO KEEP IN MIND

- Not a bank, so no DICGC insurance (banks cover up to ₹5 lakh)
- No written state guarantee on deposits in TDFC's terms
- Premature closure is restricted and costs interest
- No published credit rating for its deposits

WHAT FINALLY SETTLED IT FOR ME

I treat TDFC as a strong, state-owned company FD, not as a bank FD. For a retired person, that means: good for a part of the savings, not all of it. Keep your emergency money in a bank, and spread the rest.

PART 3 · THE TWO SCHEMES

Monthly income, or *one big amount at the end*

TDFC has two options. Same safety, same rates; only the way interest reaches you changes.

4 Scheme I: Periodic Interest Payment (regular income)

Interest is paid to your bank account monthly, quarterly or once a year. Best if you need the money for household expenses. Interest reaches you on the 1st of the month.

TENURE	SENIOR, MONTHLY / QUARTERLY	SENIOR, YEARLY	UNDER 60, MONTHLY / QUARTERLY
24 months	7.80%*	-	7.65%*
36 months	7.95%	8.19%	7.75%
48 months	8.20%	8.46%	7.85%
60 months	8.50%	8.77%	8.00%

**24 months is quarterly payout only. A senior citizen putting ₹10 lakh for 60 months on monthly payout gets about ₹7,083 every month (₹10,00,000 × 8.5% ÷ 12).*

5 Scheme II: Money Multiplier (cumulative)

Interest is compounded every quarter and paid with your principal at maturity. Best if you don't need the income now.

TENURE	SENIOR RATE	₹1 LAKH BECOMES	UNDER 60 RATE
12 months	7.70%	₹1,07,925	7.55%
24 months	7.80%	₹1,16,707	7.65%
36 months	7.95%	₹1,26,638	7.75%
48 months	8.20%	₹1,38,359	7.85%
60 months	8.50%	₹1,52,279	8.00%

Rates effective 24 August 2026, per year. "Senior" means anyone who has completed 60 years. Trusts, companies and other institutions get lower "Others" rates (6.7% to 6.9%).

PART 4 · HOW IT COMPARES

TDFC next to *the usual safe options*

Same example everywhere: a senior citizen putting ₹10 lakh away for 5 years.

6 If you want it to grow

OPTION	RATE	₹10 LAKH AFTER 5 YRS	BACKING
TDFC Money Multiplier	**8.50%**	**₹15,22,795**	TN government company, not insured
Post Office 5-yr Time Deposit	**7.50%**	**₹14,49,948**	Government of India
Kisan Vikas Patra	**7.50%**	**Doubles in 115 months**	Government of India

Post Office TD interest is calculated quarterly; the figure assumes it stays invested. KVP has a fixed 115-month (9 years 7 months) term, so it isn't a like-for-like 5-year option. Post Office rates are for October to December 2026.

7 If you want a monthly income

OPTION	RATE	INCOME FROM ₹10 LAKH	LIMIT
TDFC Periodic, monthly	**8.50%**	**₹7,083 / month**	No upper limit
Senior Citizens Savings Scheme	**8.20%**	**₹20,500 / quarter**	Up to ₹30 lakh per person
Post Office Monthly Income	**7.40%**	**₹5,550 / month***	Up to ₹9 lakh single

**On the ₹9 lakh maximum for a single account. SCSS pays every quarter (about ₹6,833 a month on average).*

> THIS TOOK ME A WHILE TO GET
>
> The extra 0.3% to 1% that TDFC pays is the price of moving from a central government scheme to a state company. For many families the smart setup is SCSS first (it is backed by the Government of India), then TDFC for the next portion.

PART 5 · HOW TO APPLY

Opening a TDFC deposit, *step by step*

No branch visit needed. Most of it happens from your bank account and the post.

8 Who can invest

Any resident individual, alone or jointly with family. **Minors** through a parent or guardian. **HUFs**, trusts, institutions and companies (at the "Others" rate). **NRIs** only on a non-repatriation basis, paying from an NRO account; NRE money is not accepted.

9 Keep these ready

Filled and signed application form · PAN card copy · Aadhaar copy · KYC form with a passport photo, signed across it · Cancelled cheque or bank passbook front page showing IFSC · Age proof, if you are claiming the senior citizen rate · Tax declaration form if your income is below the taxable limit (Part 6).

10 The steps

1. **Pick your scheme and tenure.** Periodic (income) or Money Multiplier (growth), and 12 to 60 months.
2. **Get the form.** Download the deposit application from the Downloads section of tdfc.in and print it.
3. **Pay from your own bank account.** Online through the payment link on tdfc.in, by NEFT/RTGS, or with an A/c Payee cheque in favour of "Tamil Nadu Transport Development Finance Corporation Ltd", payable at Chennai. Minimum ₹50,000, then in multiples of ₹1,000. No cash, no post-dated cheques.
4. **If you paid online,** print the payment receipt and sign it.
5. **Send the documents by post or courier** to the Chennai head office (address on the last page). Add a nominee in the form.
6. **Receive your Fixed Deposit Receipt** by registered post or courier. Keep it safe: you need the original to renew or close.

> A SHORTCUT I USE NOW
>
> Call or WhatsApp the TDFC customer care numbers before paying, and confirm the current rate and the exact payment account. Rates change from time to time, and the rate that applies is the one on the day your money reaches them.

The fine print, *in plain words*

These are the rules that surprise people later. Read them once now.

11 Closing early

IF YOU CLOSE AFTER	WHAT YOU GET
Less than 3 months	Not allowed (except on the depositor's death, then principal only)
3 to 6 months	Principal back, no interest
6 to 12 months	3% less than the 12-month rate
12 to 24 months	2% less than the 12-month rate
24 to 36 months	2% less than the 24-month rate
36 months to maturity	2% less than the 36-month rate

Give 15 days' notice (1 month for deposits above ₹1 crore). Need cash for a short time? A loan of up to 75% of the deposit is allowed once, after 3 months, at 2% above your deposit rate.

12 Tax

Interest is fully taxable at your income tax slab. The senior citizen interest deduction of up to ₹50,000 (old Section 80TTB, old tax regime) does not help here, because it covers bank, co-operative bank and post office deposits only.

TDS is deducted once your interest from TDFC crosses the yearly limit. TDFC's pages still quote an older ₹5,000 figure, so confirm the current limit with them. If your total income is below the taxable limit, submit the no-TDS declaration (Form 121 under the new Income-tax Act; it replaced Forms 15G and 15H) at the start of every financial year.

On the cumulative scheme, interest is counted every 31 March even though you receive it only at maturity. So you pay tax each year, not all at the end.

13 Renewal and nomination

Send the renewal form with the original receipt on or before maturity. Renew within 3 months of maturity and you get the old maturity-date rate; after that it counts as a fresh deposit. Always add a nominee: if a sole depositor passes away, the nominee can claim the deposit.

WORDS YOU'LL HEAR

The glossary, *in plain words*

Every term from this guide, explained the way I'd explain it at home.

TDFC
TN TRANSPORT DEVELOPMENT FINANCE CORP.

A Tamil Nadu government company that takes deposits and funds state transport.

"TN government-oda finance company."

NBFC
NON-BANKING FINANCE COMPANY

A company that lends and borrows like a bank but does not hold a banking licence.

"Bank maadhiri, aana bank illa."

Fixed deposit
FD

You lock money for a fixed time at a fixed rate.

"Fix pannina rate, fix pannina kaalam."

Tenure
DEPOSIT PERIOD

How long the money stays in. TDFC offers 12 to 60 months.

"Evlo naal panam ulla irukkum."

Periodic scheme
SCHEME I · PIPS

Interest is paid to your account monthly, quarterly or yearly.

"Maasa maasam interest kaila varum."

Money Multiplier
SCHEME II · CUMULATIVE

Interest is added back every quarter and paid with the principal at the end.

"Kadaisila motthama eduthukalam."

Compounding
INTEREST ON INTEREST

Interest earned this quarter also earns interest next quarter.

"Vatti-ku um vatti varum."

Effective yield
SIMPLE AVERAGE GAIN

Total gain divided by years. Looks bigger than the compound rate.

"Mothama vandha laabam ÷ varusham."

Maturity
END OF THE DEPOSIT

The day your deposit ends and the money is paid back.

"Panam thirumbi varra naal."

Premature closure
BREAKING THE FD

Closing before maturity. Allowed after 3 months, with lower interest.

"Munnadiye eduthaa vatti korayum."

DICGC
DEPOSIT INSURANCE

Insures bank deposits up to ₹5 lakh. Does not cover TDFC.

"Bank FD-ku mattum insurance."

TDS
TAX DEDUCTED AT SOURCE

Tax cut from your interest before it is paid to you.

"Vatti varra munnadiye tax pudichukuvanga."

Form 121
NO-TDS DECLARATION

Says your income is below the taxable limit, so no TDS. Replaced 15G/15H.

"Tax illa-nu sollura form."

Nominee
WHO GETS IT AFTER YOU

The person who can claim the deposit if the depositor passes away.

"Unga kaalathukku apram yaarukku."

NRO account
NON-RESIDENT ORDINARY

The only NRI account TDFC accepts money from.

"NRI-na NRO account la irundhu mattum."

SOURCES AND DISCLAIMER

How the *numbers* were worked out

Every rate here comes from an official page. Every amount was calculated with a script, not by hand.

1. TDFC interest rates, Scheme I and Scheme II, effective 24 August 2026: tdfc.in (Periodic Interest Payment Scheme and Money Multiplier Scheme pages, and the 24 August 2026 pamphlet, whose maturity values per ₹50,000 match the figures here).
2. Eligibility, documents, payment modes, premature closure, loan, renewal, nomination, TDS and "deposits are not insured" wording: TDFC Terms and Conditions, How to Apply and FAQ pages on tdfc.in.
3. Ownership, RBI registration (No. 07.00403, Investment and Credit Company), year of setup and deposit size: TDFC profile and contact pages.
4. Deposit insurance limit of ₹5 lakh per depositor per bank, and NBFC deposits not covered: DICGC guide to deposit insurance.
5. Post Office TD, MIS, SCSS and KVP rates for October to December 2026 (unchanged from the previous quarter): Ministry of Finance announcement, 30 September 2026. Form 121 replacing Forms 15G and 15H from 1 April 2026: Income-tax Act, 2025 rules.
6. Method: cumulative maturity = Amount × (1 + rate ÷ 4)^(months ÷ 3). This reproduces TDFC's own published effective yields exactly (10.46% for 60 months at 8.5%). Monthly income = Amount × rate ÷ 12. All figures before tax.

14 Contact TDFC

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DISCLAIMER

This guide is for education only. It is not investment, tax or legal advice, and it does not recommend any specific product or company. I am not a SEBI-registered investment adviser. TDFC deposits are not bank deposits and are not covered by DICGC insurance; RBI does not guarantee the company's financial position. Rates shown are those published on 24 August 2026 and can change. Check the current rate and terms directly with TDFC, and speak to a qualified adviser before acting.

Opened a TDFC deposit for your parents? *Tell me which scheme* you picked.

Free to share. Made by Abinash at **@buildwithabinash**. Send this to a friend whose parents are looking for a safe, regular income.